BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT - CUYAHOGA COUNTY

SCHEDULE OF REVENUE, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE FISCAL YEARS ENDED JUNE 30, 2022, 2023 and 2024 ACTUAL FORECASTED FISCAL YEARS ENDING JUNE 30, 2025 THROUGH JUNE 30, 2029

Forecast Provided By
Brecksville-Broadview Heights City School District
Treasurer's Office
Craig Yaniglos, Treasurer/CFO
November 20, 2024

Brecksville-Broadview Heights City School District

Cuyahoga County

Schedule of Revenues, Expenditures and Changes in Fund Balances
For the Fiscal Years Ended June 30, 2022, 2023 and 2024 Actual;
Forecasted Fiscal Years Ending June 30, 2025 Through 2029

		Actual				Forecasted				
		Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024	Average Change	Fiscal Year 2025	Fiscal Year 2026	Fiscal Year 2027	Fiscal Year 2028	Fiscal Year 2029
	Revenues									
1.010	General Property Tax (Real Estate)	$39,287,331	$39,770,524	$40,357,962	1.4%	$40,613,102	$41,125,718	$41,268,053	$41,563,170	$41,829,578
1.020	Public Utility Personal Property Tax	2,539,154	2,650,382	2,791,183	4.8%	2,824,134	2,868,754	2,907,969	2,947,184	2,986,399
1.030	Income Tax	0	0	0	0.0%	0	0	0	0	0
1.035	Unrestricted State Grants-in-Aid	4,208,925	4,588,410	4,775,060	6.5%	4,946,093	4,951,002	4,955,985	4,961,078	4,966,282
1.040	Restricted State Grants-in-Aid	764,977	708,505	923,412	11.5%	683,687	683,687	683,687	683,687	683,687
1.045	Restricted Federal Grants-in-Aid	0	0	0	0.0%	0	0	0	0	0
1.050	State Share of Local Property Taxes	4,139,716	4,155,231	4,181,098	0.5%	4,208,874	4,213,538	4,221,712	4,250,026	4,278,176
1.060	All Other Revenues	1,915,686	2,533,136	3,531,103	35.8%	3,103,699	2,803,699	2,643,699	2,515,699	2,503,699
1.070	*Total Revenues*	$52,855,789	$54,406,188	$56,559,818	3.4%	$56,379,589	$56,646,398	$56,681,105	$56,920,844	$57,247,821
	Other Financing Sources									
2.010	Proceeds from Sale of Notes	0	0	0	0.0%	0	0	0	0	0
2.020	State Emergency Loans	0	0	0	0.0%	0	0	0	0	0
2.040	Operating Transfers-In	0	0	0	0.0%	0	0	0	0	0
2.050	Advances-In	0	0	0	0.0%	0	0	0	0	0
2.060	All Other Financing Sources	156,817	38,209	174,421	140.4%	35,000	35,000	35,000	35,000	35,000
2.070	*Total Other Financing Sources*	$156,817	$38,209	$174,421	140.4%	$35,000	$35,000	$35,000	$35,000	$35,000
2.080	*Total Revenues and Other Financing Sources*	$53,012,606	$54,444,397	$56,734,239	3.5%	$56,414,589	$56,681,398	$56,716,105	$56,955,844	$57,282,821
	Expenditures									
3.010	Personal Services	$33,544,558	$33,691,592	$34,489,628	1.4%	$35,944,173	$36,261,585	$37,724,649	$38,576,518	$39,545,461
3.020	Employees' Retirement/Insurance Benefits	11,300,619	11,626,692	12,054,792	3.3%	13,219,764	14,051,993	15,015,563	15,974,081	17,046,328
3.030	Purchased Services	4,650,532	4,931,465	5,454,859	8.3%	5,746,762	5,734,985	5,782,728	5,905,244	5,954,689
3.040	Supplies and Materials	1,221,510	1,095,081	1,486,515	12.7%	1,501,381	1,516,396	1,531,561	1,546,876	1,562,344
3.050	Capital Outlay	21,328	72,485	91,096	132.8%	80,000	80,000	80,000	80,000	80,000
3.060	Intergovernmental	0	0	0	0.0%	0	0	0	0	0
	Debt Service:				0.0%					
4.010	Principal-All (Historical Only)	0	0	0	0.0%	0	0	0	0	0
4.020	Principal-Notes	0	0	0	0.0%	0	0	0	0	0
4.030	Principal-State Loans	0	0	0	0.0%	0	0	0	0	0
4.040	Principal-State Advancements	0	0	0	0.0%	0	0	0	0	0
4.050	Principal-HB 264 Loans	0	0	0	0.0%	0	0	0	0	0
4.055	Principal-Other	0	0	0	0.0%	0	0	0	0	0
4.060	Interest and Fiscal Charges	0	0	-	0.0%	0	0	0	0	0
4.300	Other Objects	767,097	804,849	787,401	1.4%	787,401	787,401	787,401	787,401	787,401
4.500	*Total Expenditures*	$51,505,644	$52,222,164	$54,364,291	2.7%	$57,279,481	$58,432,360	$60,921,902	$62,870,120	$64,976,223
	Other Financing Uses									
5.010	Operating Transfers-Out	$93,627	$185,113	$336,019	89.6%	$185,000	$185,000	$185,000	$185,000	$185,000
5.020	Advances-Out	0	0	0	0.0%	0	0	0	0	0
5.030	All Other Financing Uses	0	0	0	0.0%	0	0	0	0	0
5.040	*Total Other Financing Uses*	$93,627	$185,113	$336,019	89.6%	$185,000	$185,000	$185,000	$185,000	$185,000
5.050	*Total Expenditures and Other Financing Uses*	$51,599,271	$52,407,277	$54,700,310	3.0%	$57,464,481	$58,617,360	$61,106,902	$63,055,120	$65,161,223
6.010	*Excess of Revenues and Other Financing Sources over (under) Expenditures and Other Uses*	$1,413,335	$2,037,120	$2,033,929	22.0%	($1,049,892)	($1,935,962)	($4,390,797)	($6,099,276)	($7,878,402)
7.010	Cash Balance July 1 - Excluding Proposed Renewal/Replacement and New Levies	$21,292,364	$22,705,699	$24,742,819	7.8%	$26,776,748	$25,726,856	$23,790,894	$19,400,097	$13,300,821
7.020	*Cash Balance June 30*	$22,705,699	$24,742,819	$26,776,748	8.6%	$25,726,856	$23,790,894	$19,400,097	$13,300,821	$5,422,419
8.010	*Estimated Encumbrances June 30*	$0	$0	$0	0.0%	$150,000	$150,000	$150,000	$150,000	$150,000
	Reservation of Fund Balance									
9.010	Textbooks and Instructional Materials	0	0	0	0.0%	0	0	0	0	0
9.020	Capital Improvements	0	0	0	0.0%	0	0	0	0	0
9.030	Budget Reserve	0	0	0	0.0%	0	0	0	0	0
9.040	DPIA	0	0	0	0.0%	0	0	0	0	0
9.045	Fiscal Stabilization	0	0	0	0.0%	0	0	0	0	0
9.050	Debt Service	0	0	0	0.0%	0	0	0	0	0
9.060	Property Tax Advances	0	0	0	0.0%	0	0	0	0	0
9.070	Bus Purchases	0	0	0	0.0%	0	0	0	0	0
9.080	*Subtotal Reservations of fund Balance*	$0	$0	$0	0.0%	$0	$0	$0	$0	$0
10.010	*Fund Balance June 30 for Certification of Appropriations*	$22,705,699	$24,742,819	$26,776,748	8.6%	$25,576,856	$23,640,894	$19,250,097	$13,150,821	$5,272,419

Brecksville-Broadview Heights City School District

Cuyahoga County

Schedule of Revenues, Expenditures and Changes in Fund Balances
For the Fiscal Years Ended June 30, 2022, 2023 and 2024 Actual;
Forecasted Fiscal Years Ending June 30, 2025 Through 2029

		Actual				Forecasted				
		Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024	Average Change	Fiscal Year 2025	Fiscal Year 2026	Fiscal Year 2027	Fiscal Year 2028	Fiscal Year 2029
	Revenue from Replacement/Renewal Levies									
11.010	Income Tax - Renewal	0	0	0	0.0%	0	0	0	0	0
11.020	Property Tax - Renewal or Replacement	0	0	0	0.0%	0	0	0	0	0
11.300	Cumulative Balance of Renewal Levies	$0	$0	$0	0.0%	$0	$0	$0	$0	$0
12.010	*Fund Balance June 30 for Certification of Contracts, Salary Schedules and Other Obligations*	$22,705,699	$24,742,819	$26,776,748	8.6%	$25,576,856	$23,640,894	$19,250,097	$13,150,821	$5,272,419
	Revenue from New Levies									
13.010	Income Tax - New	0	0	0	0.0%	0	0	0	0	0
13.020	Property Tax - New	0	0	0	0.0%	0	0	4,728,878	9,146,766	9,146,766
13.030	Cumulative Balance of New Levies	$0	$0	$0	0.0%	$0	$0	$4,728,878	$13,875,644	$23,022,410
14.010	Revenue from Future State Advancements				0.0%	-	-	-	-	-
15.010	*Unreserved Fund Balance June 30*	$22,705,699	$24,742,819	$26,776,748	8.6%	$25,576,856	$23,640,894	$23,978,975	$27,026,465	$28,294,829

Brecksville-Broadview Heights City School District – Cuyahoga County
Notes to the Five-Year Forecast
General Fund Only
November 20, 2024

Introduction to the Five Year Forecast

A forecast is a snapshot of today. Based on historical trends, what we know and future assumptions. That snapshot, however, will be adjusted because the further into the future the forecast extends, the more likely it is that the projections will deviate from experience. Various events will ultimately impact the latter years of the forecast, such as state budgets (adopted every two years), tax levies (new/renewal/replacement), salary increases, enrollment variances, or businesses moving in or out of the district. The five-year forecast is a crucial management tool and must be updated periodically. The five-year forecast enables district management teams to examine future years' projections and identify when challenges will arise. This helps district management to be proactive in meeting those challenges. School districts are encouraged to update their forecasts with the Ohio Department of Education and Workforce (ODEW) when events materially change their forecast or, at a minimum when required under the statute.

In a financial forecast, the numbers only tell a small part of the story. For the numbers to be meaningful, the reader must review and consider the Assumptions to the Financial Forecast before drawing conclusions or using the data as a basis for other calculations. The assumptions are especially important to understanding the rationale of the numbers, particularly when a significant increase or decrease is reflected.

Here are at least three purposes or objectives of the five-year forecast:

(1) To engage the local board of education and the community in long range planning and discussions of financial issues facing the school district
(2) To serve as a basis for determining the school district's ability to sign the certificate required by O.R.C. §5705.412, commonly known as the "412 certificate"
(3) To provide a method for the Ohio Department of Education and Workforce, and the Auditor of State to identify school districts with potential financial problems.

O.R.C. §5705.391 and O.A.C. 3301-92-04 require a Board of Education (BOE) to file a five-year financial forecast by November 30, and May 31, each fiscal year (July 1 to June 30). The five-year forecast includes three years of actual and five years of projected general fund revenues and expenditures. The first year of the fiscal forecast is considered the baseline year. Our forecast is updated to reflect the most current economic data available for the November 2024 filing.

Economic Outlook

The current economic recovery began in the fall of 2020 and remains robust through this forecast date. However, recent Federal Reserve Bank interest rate cuts foretell of a possible recession in the next six to twelve months from this forecast. The persistently high inflation that has impacted our state, country, and broader globalized economy has slowed to an annualized rate of 2.53% in August 2024 that is down from the 40 year high of 9.1% annualized rate posted in June 2022. Costs for goods and services in FY23 and FY24 were notably impacted in areas such as capital and durable goods, diesel fuel for buses, electric, natural gas, and building materials for facility maintenance and repair. Inflation affecting district costs is expected to continue in FY25. There is some good news, the Federal Reserve is projecting inflation to be closer to their target rate of 2% by calendar year end 2024 or early in 2025. It remains to be seen if the cumulative cost increases over the past two years are transitory in goods and services or will last over the forecast period.

The Federal Reserve Bank cut Federal Fund rates In September 2024 by 50 basis points (.5%) which indicates slowing inflation and a slowing economy. Employment levels have begun to fall. The unemployment rate was

3.8% in September 2023 and rose to 4.2% in September 2024. A survey of prominent leading economists predicts there is roughly a 50% chance of a mild recession in the calendar year 2025. How this news impacts the state of Ohio's FY26 and FY27 biennium budget deliberations and actions in late spring 2025 is unknown as this forecast is filed.

The state of Ohio has enjoyed economic growth over the past three years, and the state's Rainy Day Fund balance is at $3.7 Billion. The new state funding formula is in the fourth year of a projected six-year phase-in. While increased inflation has impacted costs across Ohio, the state's economy has grown, and many school districts received new funding in HB33 for FY24 and FY25. The ongoing growth in Ohio's economy should enable the state to finalize the last two years of the phase-in of the new funding formula in FY26 and FY27 even if a cyclical recession occurs. Regardless of a recession, the state is well-positioned to continue state aid payments to Ohio's school districts.

Since 2020 all school districts were being aided in varying degrees by three (3) rounds of federal Elementary and Secondary Schools Emergency Relief Funds (ESSER). The most recent allocation of ESSER funds must be encumbered by September 30, 2024. The loss of these funds in FY25 and future years may create a "fiscal cliff" as any ongoing costs will likely be absorbed back into the district General Fund.

Data and assumptions noted in this forecast are based on the best and most reliable data available to us as of the date of this forecast.

Forecast Risks and Uncertainty:
A five-year financial forecast has risks and uncertainty not only due to economic delays noted above but also due to state legislative changes that will occur in the spring of 2025 and 2027 due to deliberation of the following two (2) state biennium budgets for FY26-27 and FY28-29, both of which affect this five-year forecast. We have estimated revenues and expenses based on the best data available and the laws currently in effect. The items below give a short description of the current issues and how they may affect our forecast in the long term:

I. Property tax collections are the largest single revenue source for the school system. The housing market in our district is stable and growing. We project growth in appraised values every three (3) years and new construction growth with modest increases in local taxes. Total local revenues, predominately local taxes, equate to 82.5% of the district's resources. Our tax collections in the spring and fall settlements showed average collection trends. We believe there is a low risk that local collections would fall below projections throughout the forecast.

II. Cuyahoga County experienced a reappraisal update in the 2021 tax year to be collected in FY22. The 2021 update increased overall assessed values by $153.7 million or an increase of 13.8%. A reappraisal is currently in process for tax year 2024 for collection in FY25. The reappraisal values should be finalized at the end of December. The values are estimated to increase for Class I and II property by $255.4 million for an overall increase of 20.04%. There is however always a minor risk that the district could sustain a reduction in values in the next appraisal update but we do not anticipate that at this time.

III. Due to historic property value increases in reappraisal and update years the Ohio Legislature has considered various proposals since 2023 to help reduce non voted tax increases on taxpayers. Currently the senate has proposed SB271 that seeks to limit growth through refund or reduction taxes to ensure annual income and property taxes do not exceed 5% of a qualified taxpayer's income. If passed by the General Assembly this will result in lowering tax increases for our residents who qualify. We are watching this legislation closely.

In addition to SB271, the legislature developed a Joint Committee on Property Taxation and Reform in 2024 in response to the historic valuation increases. Their mission is to review Ohio's property tax system and to make recommendations to the General Assembly on property taxation. The committee must report to the General Assembly by December 31, 2024. We are following any actions of the committee closely to determine what impact, if any, proposals could mean for our district to limit tax growth or to reduce taxes.

IV. The state budget represented 17.5% of district revenues, which means it is a significant area of risk to revenue. The future risk comes in FY26 and beyond if the state economy stalls due to a possible recession or the last two (2) years of the Fair School Funding Plan is not funded in the next state biennium budget. In this forecast, there are two unknown future State Biennium Budgets covering FY26-27 and FY28-29. Future uncertainty in the state foundation funding formula and the state's economy makes this area an elevated risk to district funding long-range through FY29. We have projected our state funding in FY25 based on the additional phase-in of HB33 (the fair school funding plan). This forecast reflects state revenue to align with the FY25 funding levels through FY29, which we feel is conservative and should be close to what the state approves for the next two biennium budgets. We will adjust the forecast in future years as we have data to make an informed decision.

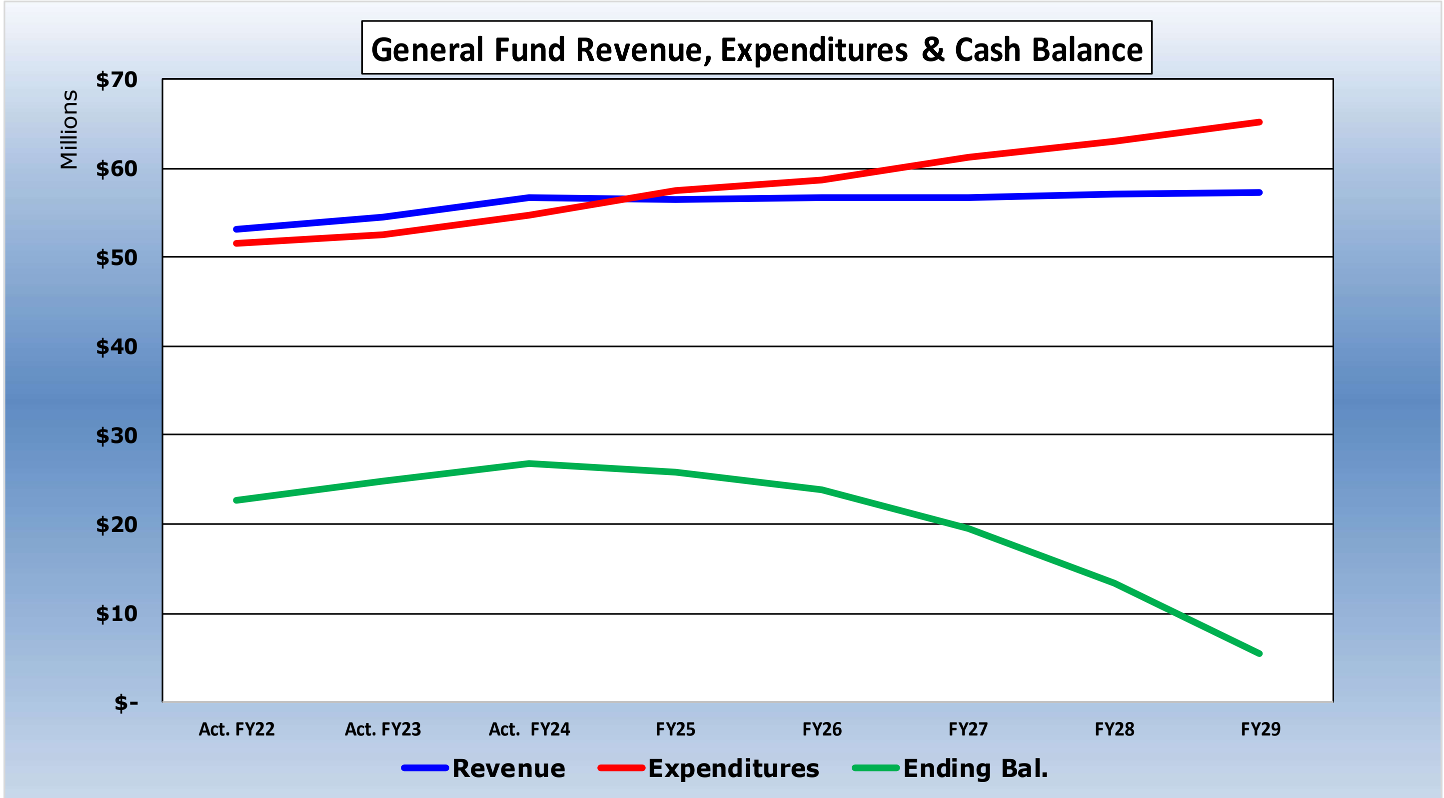
V. HB33, the current state budget, continues to phase in what has been referred to as the Fair School Funding Plan (FSFP) for FY24 and FY25. FY25 reflects 66.67% of the implementation cost at year four of a six-year phase-in plan, which increases by 16.66% each year. FY25 will result in 66.67% funding of (FSFP), however, the final two years of the phase-in are not guaranteed and are dependent on legislative actions for the FY26 and FY27 state biennium budget. The FSFP has made many significant changes to how foundation revenues are calculated for school districts and how expenses are charged off. State foundation basic aid will be calculated on a base cost methodology with funding paid to the district where a student is enrolled to be educated. We have used the most information published by the Department of Education and Workforce for our forecasted revenues in FY25.

VI. HB33 directly pays costs associated with open enrollment, community and STEM schools, and all scholarships, including EdChoice Scholarships. These costs are no longer deducted from our state aid. However, education option programs such as College Credit Plus, Excess Costs and various tuitions continue to be removed from state aid, increasing costs to the district. Expansion or creation of programs not directly paid by the state of Ohio can expose the district to new expenditures currently outside the forecast. We closely monitor any new threats to our state aid and increased costs as new proposed laws are introduced in the legislature.

VII. Labor relations in our district have been amicable with all parties working for the best interest of students and realizing the resource challenges we face. We believe as we move forward our positive working relationship will continue and will only grow stronger.

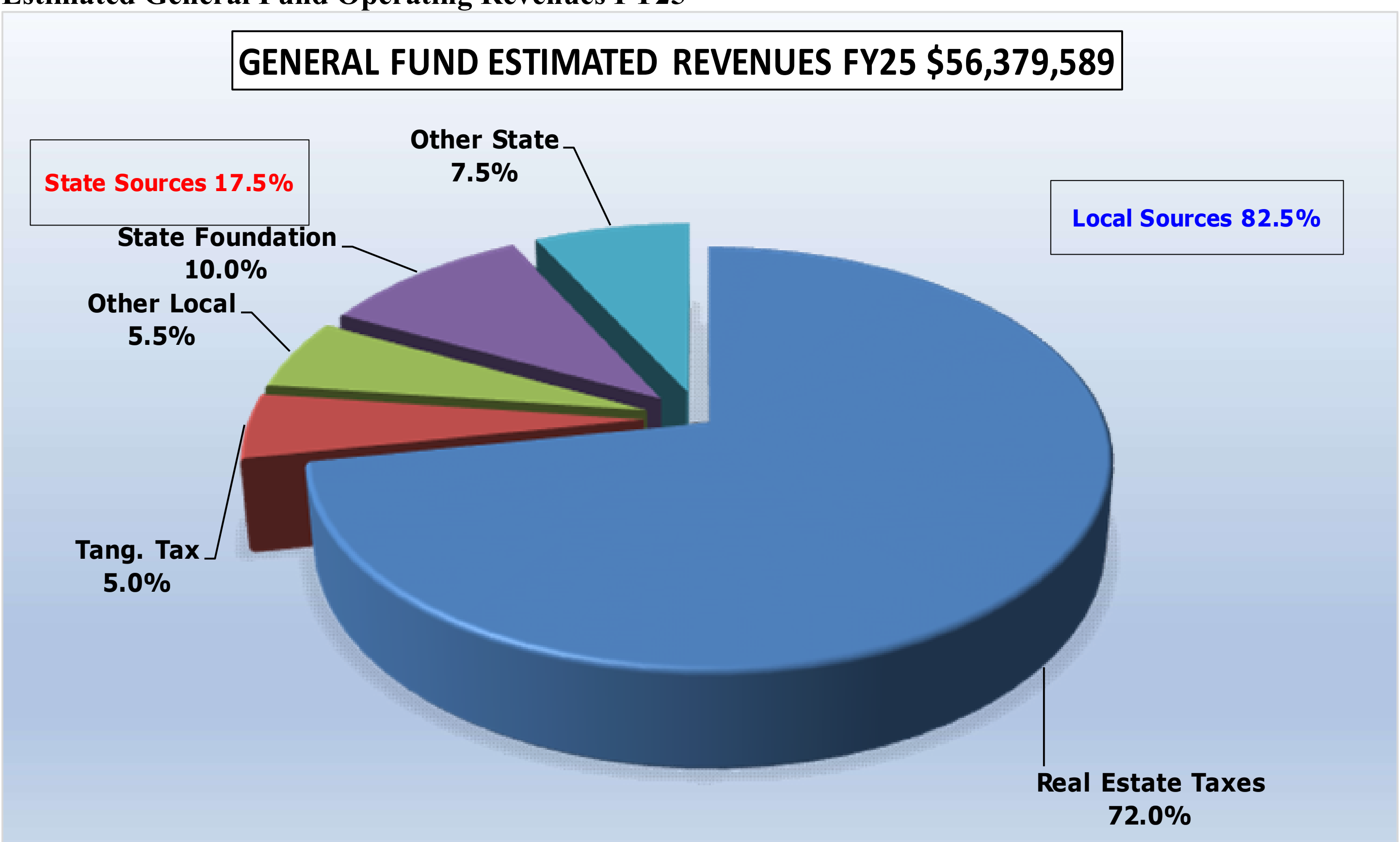
The significant lines of reference for the forecast are noted below in the headings to make it easier to relate the assumptions made for the forecast item and refer back to the forecast. It should be of assistance to the reader to review the assumptions noted below in understanding the overall financial forecast for our district. If you would like further information please feel free to contact Craig Yaniglos, Treasurer of Brecksville-Broadview Heights City School District.

General Fund Revenue, Expenditures and Ending Cash Balance Actual FY22-24 and Estimated FY25-29
The graph captures in one snapshot the operating scenario facing the district over the next few years.



Revenue Assumptions

Estimated General Fund Operating Revenues FY25



Real Estate Value Assumptions – Line #1.010

Property Values are established each year by the County Auditor based on new construction, demolitions, BOR/BTA activity and complete reappraisal or updated values. Cuyahoga County experienced a reappraisal update in Tax Year 2021 for collection in 2022. We realized an overall increase in our total tax base of 13.8% due to inflation and new construction.

A full reappraisal is currently being finalized for tax year 2024 in Cuyahoga County and we estimate a 22.00% increase in residential and 8.00% in commercial property values. Residential/Agricultural and Commercial/Industrial values are estimated to increase by $255.4 million or 20.04% overall.

Public Utility Personal Property (PUPP) values increased by $1.24 million in Tax Year 2023. We expect our values to continue to grow by $500,000 each year of the forecast.

We have been conservative with any future value increases for reappraisal or updates due to uncertainty over legislative actions that may take place in the spring of 2025 that limits property tax growth.

ESTIMATED ASSESSED VALUE (AV) BY COLLECTION YEAR

	Actual	Actual	Estimated	Estimated	Estimated
	TAX YEAR2024	TAX YEAR 2025	TAX YEAR 2026	TAX YEAR 2027	TAX YEAR 2028
Classification	COLLECT 2025	COLLECT 2026	COLLECT 2027	COLLECT 2028	COLLECT 2029
Res./Ag.	$1,308,677,822	$1,310,327,822	$1,311,977,822	$1,379,226,713	$1,380,876,713
Comm./Ind.	221,362,952	223,162,952	224,962,952	231,262,211	233,062,211
Public Utility Personal Property (PUPP)	36,292,250	36,792,250	37,292,250	37,792,250	38,292,250
Total Assessed Value	$1,566,333,024	$1,570,283,024	$1,574,233,024	$1,648,281,174	$1,652,231,174

Tax Rate Assumptions

The county auditor sets tax rates for each levy voted on to provide tax revenues for the school district. Ohio law provides for "reduction factors" of all voted property tax levies to adjust the millage rates lower for the levy to not increase from inflation of property values for the taxes received by a district to that of the actual amount of the levy at the time of the election. The reduction factors are applied separately to Residential/Agriculture (Class I) and Commercial/Industrial (Class II) resulting in different effective millage rates. The district-voted rate for all general fund levies is 78.43 mills while the Class I effective millage rate is 28.3 mills and the Class II effective millage rate is 40.74 mills. The Ohio law has a provision that the reduction factors cannot lower the total millage rate for each class less than 20 mills (excluding emergency and substitute emergency levies), which includes both the voted and the non-voted millage rates; this is called the "20-Mill Floor". Currently, our district is not on the floor for either Class I or Class II.

ESTIMATED REAL ESTATE TAX (Line #1.010)

Source	FY25	FY26	FY27	FY28	FY29
Est. Real Estate Taxes	$40,613,102	$41,125,718	$41,268,053	$41,563,170	$41,829,578
Total Line #1.01 Real Estate Taxes	$40,613,102	$41,125,718	$41,268,053	$41,563,170	$41,829,578

Property tax levies are estimated to be collected at 96% of the annual amount. This allows 4% delinquency factor. In general, 54.10% of the Res/Ag and Comm/Ind property taxes are expected to be collected in the February tax settlement and 45.90% collected in the August tax settlement.

Public Utility tax settlements (PUPP taxes) are estimated to be received 57% in February and 43% in August settlement from the County Auditor and are noted in Line #1.02 totals below.

Estimated Public Utility Personal Property Tax (PUPP) – Line #1.020
The amounts below are public utility tangible personal property (PUPP) tax payments from public utilities. The values for PUPP are noted in the table above, which was $35.79 million in assessed values in 2023 and is collected at the district's full voted millage rate. Collections are typically 57% in February and 43% in August, along with the real estate settlements from the county auditor. The values in 2023 rose by 0.15% or $1.98 million and are expected to grow by $500 million each year of the forecast.

Source	FY25	FY26	FY27	FY28	FY29
Public Utility Personal Property	$2,824,134	$2,868,754	$2,907,969	$2,947,184	$2,986,399
Total PUPP Tax Line #1.020	$2,824,134	$2,868,754	$2,907,969	$2,947,184	$2,986,399

New Tax Levies – Line #13.030 - The district is planning on a new property tax levy that will come on during the 2027 fiscal year.
State Foundation Revenue Estimates – Lines #1.035, 1.040 and 1.045

Current State Funding Model per HB33 through June 30, 2025

A) Unrestricted State Foundation Revenue– Line #1.035
HB33, the current state budget, continued the Fair School Funding Plan for FY24 and FY25, which funds students where they are educated rather than where they live. We have projected FY25 funding based on the October 2024 foundation settlement and funding factors.

Our district recently moved onto the formula in October of FY25 and is expected to continue to be on the formula provided the final phase in of the Fair School Funding Plan (FSFP) occurs.

For a detailed overview of how foundation funding is calculated please visit the Ohio Department of Education and Workforce at: https://education.ohio.gov/Topics/Finance-and-Funding/Overview-of-School-Funding.

State Funding Phase-In FY25 and Guarantees
The Fair School Funding Plan was presented as a six (6) year phase-in plan, the state legislature approved the first two (2) years of the funding plan in HB110 and extended the plan in HB33 for FY24 and FY25. The FSFP does not include caps on funding; instead, it consists of a general phase-in percentage for most components of 66.67% in FY25.

The funding formula includes three (3) guarantees: 1) "Formula Transition Aid," 2) Supplemental Targeted Assistance, and 3) Formula Transition Supplement. The three (3) guarantees in both temporary and permanent law ensure that no district will get fewer funds in FY24 and FY25 than they received in FY21.

Future State Budget Projections beyond FY25:
Our funding status for FY26-29 will depend on unknown two (2) new state budgets. There is no guarantee that the current Fair School Funding Plan will be funded or continued beyond FY25; therefore, our state funding estimates are reasonable, and we will adjust the forecast when we have authoritative data to work with. For this reason, funding is held constant in the forecast for FY26 through FY29.

Casino Revenue
On November 3, 2009 Ohio voters passed the Ohio casino ballot issue. This issue allowed for the opening of four (4) casinos one each in Cleveland, Toledo, Columbus and Cincinnati. Thirty-three percent (33%) of the gross casino revenue will be collected as a tax. School districts will receive 34% of the 33% GCR that will be paid into

a student fund at the state level. These funds will be distributed to school districts on the 31st of January and August each year which began for the first time on January 31, 2013.

The casino revenue has recovered from the pandemic from closing the casinos in 2020. Total funding in FY23 was $113.1 million or $64.90 per pupil. In FY24, the funding totaled $114.18 million or $65.44 per pupil. We expect the Casino revenues to have resumed their historical growth rate and are assuming a 2.0% annual growth rate for the remainder of the forecast.

Source	FY25	FY26	FY27	FY28	FY29
Basic Aid-Unrestricted	$4,121,155	$4,121,155	$4,121,155	$4,121,155	$4,121,155
Additional Aid Items	580,372	580,372	580,372	580,372	580,372
Basic Aid-Unrestricted Subtotal	4,701,527	4,701,527	4,701,527	4,701,527	4,701,527
Ohio Casino Commission ODT	244,566	249,475	254,458	259,551	264,755
Total Unrestricted State Aid Line #1.035	$4,946,093	$4,951,002	$4,955,985	$4,961,078	$4,966,282

B) Restricted State Revenues – Line # 1.040

HB33 has continued Disadvantaged Pupil Impact Aid (formerly Economic Disadvantaged funding) and Career Technical funding. In addition, new restricted funds have been added under "Restricted Categorical Aid" for Gifted, English Learners (ESL), and Student Wellness. The district has elected to also post Catastrophic Aid for special education as restricted revenues. We have estimated revenues for these new restricted funding lines using current October funding factors. The amount of DPIA is limited to a 66.67% in FY25. We have flat-lined funding at FY25 levels for FY26-FY29 due to uncertainty on continued funding of the current funding formula.

HB33 set aside funds state-wide to subsidize the Science of Reading initiative. The district will be reimbursed for teacher in-service and associated fringe benefits upon proof of training and certified reimbursement request. The district is required to maintain documentation for how funds were spent for any subsidy received.

Source	FY25	FY26	FY27	FY28	FY29
Economically Disadvantaged Aid	$11,958	$11,958	$11,958	$11,958	$11,958
ESL	15,217	15,217	15,217	15,217	15,217
Gifted	117,203	117,203	117,203	117,203	117,203
Career Tech - Restricted	0	0	0	0	0
Student Wellness	139,309	139,309	139,309	139,309	139,309
Other Restricted	0				
Catastrophic Aid	400,000	400,000	400,000	400,000	400,000
Total Restricted State Revenues Line #1.040	$683,687	$683,687	$683,687	$683,687	$683,687

C) Restricted Federal Grants in Aid – Line #1.045

There are no federal restricted grants projected during this forecast.

SUMMARY	FY25	FY26	FY27	FY28	FY29
Unrestricted Line #1.035	$4,946,093	$4,951,002	$4,955,985	$4,961,078	$4,966,282
Restricted Line #1.040	683,687	683,687	683,687	683,687	683,687
Rest. Federal Funds #1.045	0	0	0	0	0
Total State Foundation Revenue	$5,629,780	$5,634,689	$5,639,672	$5,644,765	$5,649,969

State Share of Local Property Tax – Line #1.050
a) Rollback and Homestead Reimbursement
Rollback funds are reimbursements paid to the district from Ohio for tax credits given owner occupied residences equaling 12.5% of the gross property taxes charged residential taxpayers on tax levies passed prior to September 29, 2013. HB59 eliminated the 10% and 2.5% rollback on new levies approved after September 29, 2013.

Homestead Exemptions are credits paid to the district from the state of Ohio for qualified elderly and disabled. In 2007, HB119 expanded the Homestead Exemption for all seniors 65 years of age or older or who are disabled regardless of income. Effective September 29, 2013, HB59 changed the requirement for Homestead Exemptions. Individual taxpayers who do not currently have their Homestead Exemption approved or those who do not get a new application approved for tax year 2013, and who become eligible thereafter will only receive a Homestead Exemption if they meet the income qualifications. Taxpayers who had their Homestead Exemption as of September 29, 2013 will not lose it going forward and will not have to meet the new income qualification. This will generally reduce homestead reimbursements to the district over time, and as with the rollback reimbursements above, the state is increasing the tax burden on our local taxpayers.

Summary of State Tax Reimbursement – Line #1.050

Source	FY25	FY26	FY27	FY28	FY29
Rollback and Homestead	$4,208,874	$4,213,538	$4,221,712	$4,250,026	$4,278,176
b) TPP Reimbursement - Fixed Rate	0	0	0	0	0
c) TPP Reimbursement - Fixed Sum	0	0	0	0	0
Total Tax Reimbursements #1.050	$4,208,874	$4,213,538	$4,221,712	$4,250,026	$4,278,176

Other Local Revenues – Line #1.060
All other local revenue encompasses any type of revenue that does not fit into the above lines. The main sources of revenue in this area have been open enrollment, tuition for court placed students, interest, student fees, Medicaid payments and general rental fees.

Interest income is based on the district's cash balances and increased interest rates due to the Federal Reserve raising rates to curb inflation. The Federal Reserve Bank cut interest rates by 50 basis point in September 2024. While interest income in FY25 should remain steady due to laddered investment strategies, the rate cuts will begin to have an impact on earnings in FY26 and future years. We will continue to monitor the investments for the district. All other revenues are expected to continue on historical trends.

The district has entered into a Tax Increment Financing (TIF) Agreement. There is an estimated $235,000 in revenue expected from the land value.

Source	FY25	FY26	FY27	FY28	FY29
Tuition Related Payments	$984,016	$984,016	$984,016	$984,016	$984,016
Medicaid	75,000	75,000	75,000	75,000	75,000
Class & Sports Oriented Fees	276,952	276,952	276,952	276,952	276,952
Interest Earnings	1,100,000	800,000	640,000	512,000	500,000
Payments In Lieu of Taxes (TIF)	235,648	235,648	235,648	235,648	235,648
Rental Related Fees	51,941	51,941	51,941	51,941	51,941
Erate	4,422	4,422	4,422	4,422	4,422
Miscellaneous	375,720	375,720	375,720	375,720	375,720
Total Other Local Revenue Line #1.060	$3,103,699	$2,803,699	$2,643,699	$2,515,699	$2,503,699

Short-Term Borrowing – Lines #2.010 & Line #2.020
There is no short-term borrowing projected in this forecast.

Transfers In / Return of Advances – Line #2.040 & Line #2.050
The district does not have any projected revenue in these lines.

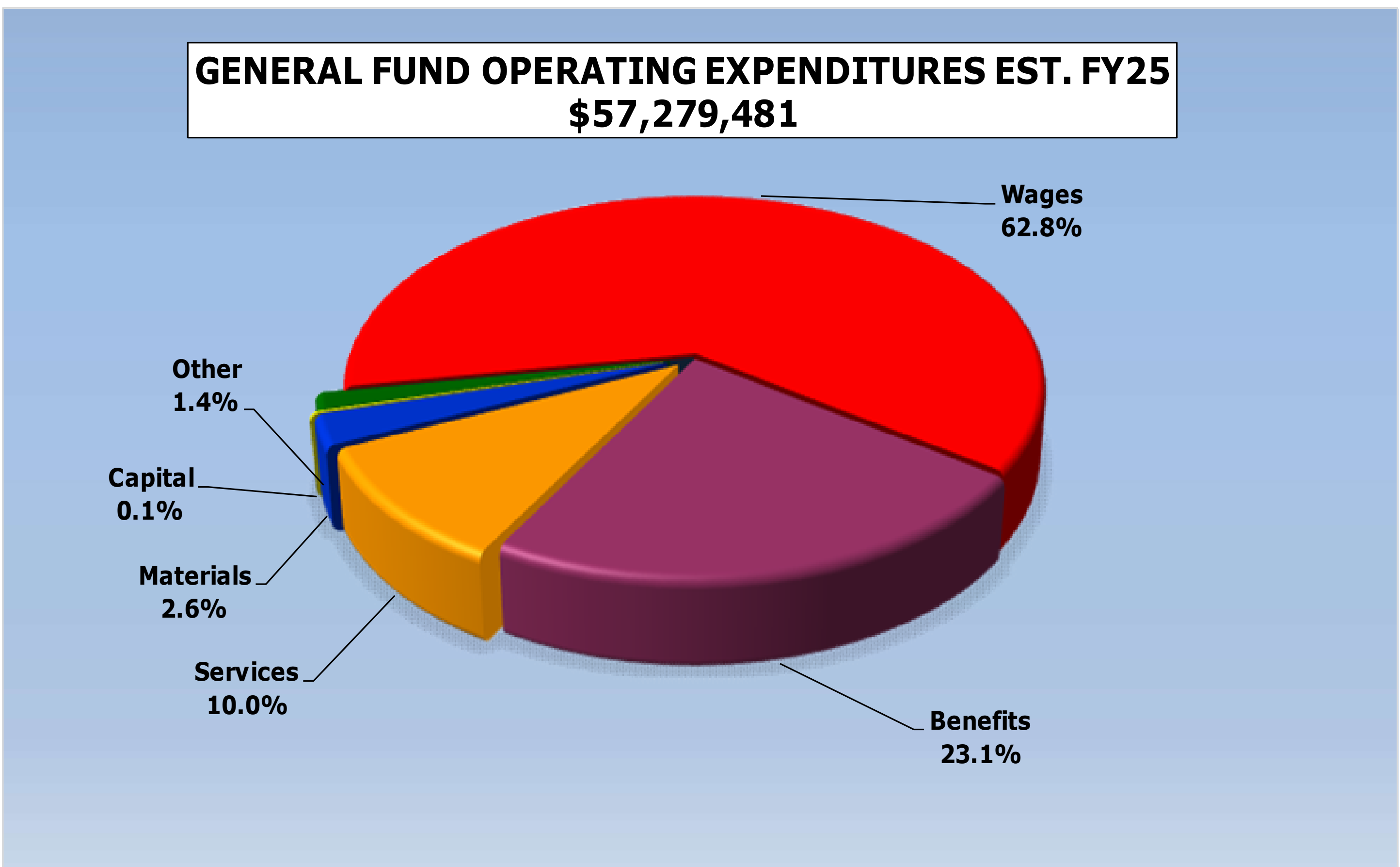
All Other Financial Sources – Line #2.060 & Line #14.010
This funding source is typically a refund of prior year expenditures that is very unpredictable. For future years we are estimating an amount of refunds that align with historical collections. Due to the nature of these collections, this forecast does not assume future collections in this section.

Source	FY25	FY26	FY27	FY28	FY29
Refund of prior years expenditures	$35,000	$35,000	$35,000	$35,000	$35,000

Expenditures Assumptions

The district's leadership team is always looking at ways to improve the education of the students whether it be with changes in staffing, curriculum, or new technology needs. As the administration of the district reviews expenditures, the education of the students is always the main focus for resource utilization.

Estimated General Fund Operating Expenditures for FY25



Personnel Services – Employee's Salaries &Wages – Line #3.010
Negotiations with bargaining unit members resulted in an agreement to include base increases of 2.75% for FY24. The newest agreement includes a base increase of 2.75% in FY25, 2.85% in FY26 and 3.25% in FY27 for certified and a base increase of 2.85% in FY25, 3.0% in FY26 and 3.00% in FY27 for classified. For planning purposes, a 1.75% base increase is planned FY28-FY29.

Source	FY25	FY26	FY27	FY28	FY29
Base Wages	$33,198,991	$33,920,275	$35,119,193	$36,560,567	$37,400,377
Based Pay Increase	1,180,000	966,728	1,141,374	639,810	654,507
Steps & Academic Training	390,000	400,000	400,000	400,000	402,166
Leaving Staff	(650,000)	(150,000)	(100,000)	(200,000)	(100,000)
New Staff	53,192	8,905	0	0	0
Substitutes	275,000	275,000	275,000	275,000	275,000
Supplementals	648,898	667,392	689,082	701,141	713,411
Severance	1,100,000	200,000	200,000	200,000	200,000
SWSF & CARES Adjustments	0	0	0	0	0
Other Adjustments/Reductions	(251,908)	(26,715)	0	0	0
Total Wages Line #3.010	$35,944,173	$36,261,585	$37,724,649	$38,576,518	$39,545,461

Employee's Retirement & Insurance Benefits Estimates Line #3.02
This area of the forecast captures all costs associated with benefits and retirement costs, all of which are directly related to the wages paid with the exception of health and life insurance benefits.

A) STRS/SERS
As the law requires, the BOE pays 14% of all employee wages to STRS or SERS. The district is also required to pay SERS Surcharge, an additional employer charge based on the salaries of lower-paid members. It is exclusively used to fund health care.

B) Insurance
The district has a 12.0% increase in premiums estimated for FY25, an estimated 11% increase in FY26, and 10% increases estimated for FY27-FY29. By FY27, the district will pay 83.5% instead of the previous rate of 85%.

C) Workers Compensation & Unemployment Compensation
Workers Compensation is expected to remain at about 0.45% of wages in fiscal year FY25. FY26 through FY29 we are showing a slight increase. Unemployment Compensation has been negligible and is anticipated to remain as such as we plan our staffing needs carefully.

D) Medicare
Medicare will continue to increase at the rate of increases in wages and as new employees are hired. Contributions are 1.45% for all new employees to the district on or after April 1, 1986. These amounts are growing at the general growth rate of wages.

E) Other/Tuition
The district reimburses employees for the tuition to further their education to maintain licensure for teaching. The district does not anticipate any increase during the forecast.

Summary of Fringe Benefits – Line #3.02

Source	FY25	FY26	FY27	FY28	FY29
A) STRS/SERS	$5,411,437	$5,561,167	$5,780,238	$5,921,121	$6,069,370
B) Insurance's	7,114,252	7,778,477	8,495,325	9,296,858	10,202,544
C) Workers Comp/Unemployment	157,106	170,777	177,214	180,963	185,226
D) Medicare	521,190	525,793	547,007	559,360	573,409
Other/Tuition/Annuities	15,779	15,779	15,779	15,779	15,779
Total Fringe Benefits Line #3.020	$13,219,764	$14,051,993	$15,015,563	$15,974,081	$17,046,328

Purchased Services – Line #3.030

HB110, the previous state budget, impacted Purchased Services as the Ohio Department of Education will began to direct pay these costs to the educating districts for open enrollment, community and STEM schools, and for scholarships granted students to be educated elsewhere, as opposed to deducting these amounts from our state foundation funding. We have continued to show these amounts below as zeros to help reflect the difference between projected FY24-FY28 Line 3.03 costs and previous years. College Credit Pus, excess costs and other tuition costs will continue to draw funds away from the district. Tuition has been an area that we continue to monitor closely as the needs of some children cannot be met at BBHCSD and thus an out-of-district placement must occur. These are related to children with special needs and over the past year this line item has increased over $300,000.

Source	FY25	FY26	FY27	FY28	FY29
Professional & Technical Services, ESC	$2,638,668	$2,665,055	$2,691,706	$2,718,623	$2,745,809
Maintenance, Insurance & Garbage Removal	615,350	621,504	627,719	633,996	640,336
Professional Development	85,000	85,850	86,709	87,576	88,452
Communications, Postage, & Telephone	103,278	104,311	105,354	106,408	107,472
Utilities	1,250,000	1,262,500	1,275,125	1,287,876	1,300,755
Contracted Trades & Services	93,701	35,000	35,350	110,000	111,100
Tuition, Excess Costs & Scholarship Costs	738,169	738,169	738,169	738,169	738,169
College Credit Plus	131,936	131,936	131,936	131,936	131,936
Contract Transportation	90,660	90,660	90,660	90,660	90,660
Other Adjustments SWSF, CARES, Etc.	0	0	0	0	0
Miscellaneous Purchased Services	0	0	0	0	0
Total Purchased Services Line #3.030	$5,746,762	$5,734,985	$5,782,728	$5,905,244	$5,954,689

Supplies and Materials – Line #3.040

Expenses which are characterized by curricular supplies, testing supplies, copy paper, maintenance and custodial supplies, materials, and bus fuel.

Source	FY25	FY26	FY27	FY28	FY29
General Office Supplies & Materials	$811,262	$819,375	$827,569	$835,845	$844,203
Textbooks & Instructional Supplies	23,863	24,102	24,343	24,586	24,832
Facility Supplies & Materials	225,505	227,760	230,038	232,338	234,661
Transportation Fuel & Supplies	440,751	445,159	449,611	454,107	458,648
Other adjustments SWSF, CARES, Etc.	0	0	0	0	0
Total Supplies Line #3.040	$1,501,381	$1,516,396	$1,531,561	$1,546,876	$1,562,344

Capital Outlay – Line #3.050
The district does not anticipate costs increasing significantly in this line because most capital outlay is paid by the Permanent Improvement Fund.

Source	FY25	FY26	FY27	FY28	FY29
Capital Outlay & Maintenance	$80,000	$80,000	$80,000	$80,000	$80,000
Technology/Curriculum Purchases	0	0	0	0	0
Busses & Other Vehicles	0	0	0	0	0
Other adjustments SWSF, CARES, Etc.	0	0	0	0	0
Total Equipment Line #3.050	$80,000	$80,000	$80,000	$80,000	$80,000

Principal and Interest Payment – Lines #4.010 through 4.060
There are no borrowings planned in the forecast period.

Other Objects – Line #4.300
The category of Other Expenses consists primarily of Auditor & Treasurer fees, our annual audit and other miscellaneous expenses. We are projecting no increase in this area.

Source	FY25	FY26	FY27	FY28	FY29
County Auditor & Treasurer Fees	$534,449	$534,449	$534,449	$534,449	$534,449
ESC Deduction	23,979	23,979	23,979	23,979	23,979
Increased A&T Fees for New Levies	0	0	0	0	0
Dues, Fees & other Expenses	228,973	228,973	228,973	228,973	228,973
Total Other Expenses Line #4.300	$787,401	$787,401	$787,401	$787,401	$787,401

Transfers Out/Advances Out – Line #5.010
This account group covers fund to fund transfers and end of year short term loans from the General Fund to other funds until they have received reimbursements to repay the General Fund.

Source	FY25	FY26	FY27	FY28	FY29
Operating Transfers Out Line #5.010	$185,000	$185,000	$185,000	$185,000	$185,000
Advances Out Line #5.020	0	0	0	0	0
Total Transfer & Advances Out	$185,000	$185,000	$185,000	$185,000	$185,000

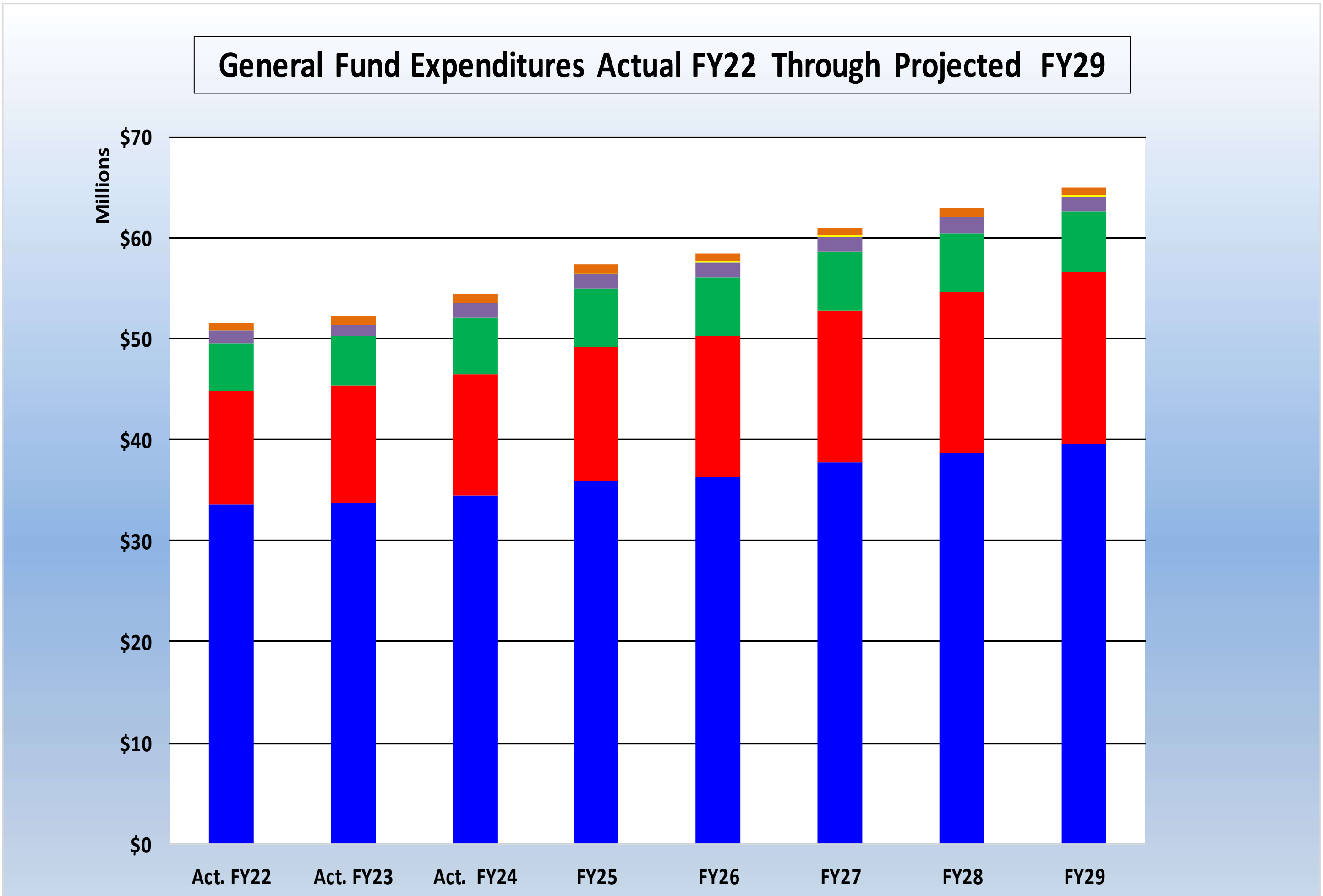
Encumbrances – Line #8.010
These are outstanding purchase orders that have not been approved for payment as the goods were not received in the fiscal year in which they were ordered.

	FY25	FY26	FY27	FY28	FY29
Estimated Encumbrances Line #8.010	$150,000	$150,000	$150,000	$150,000	$150,000

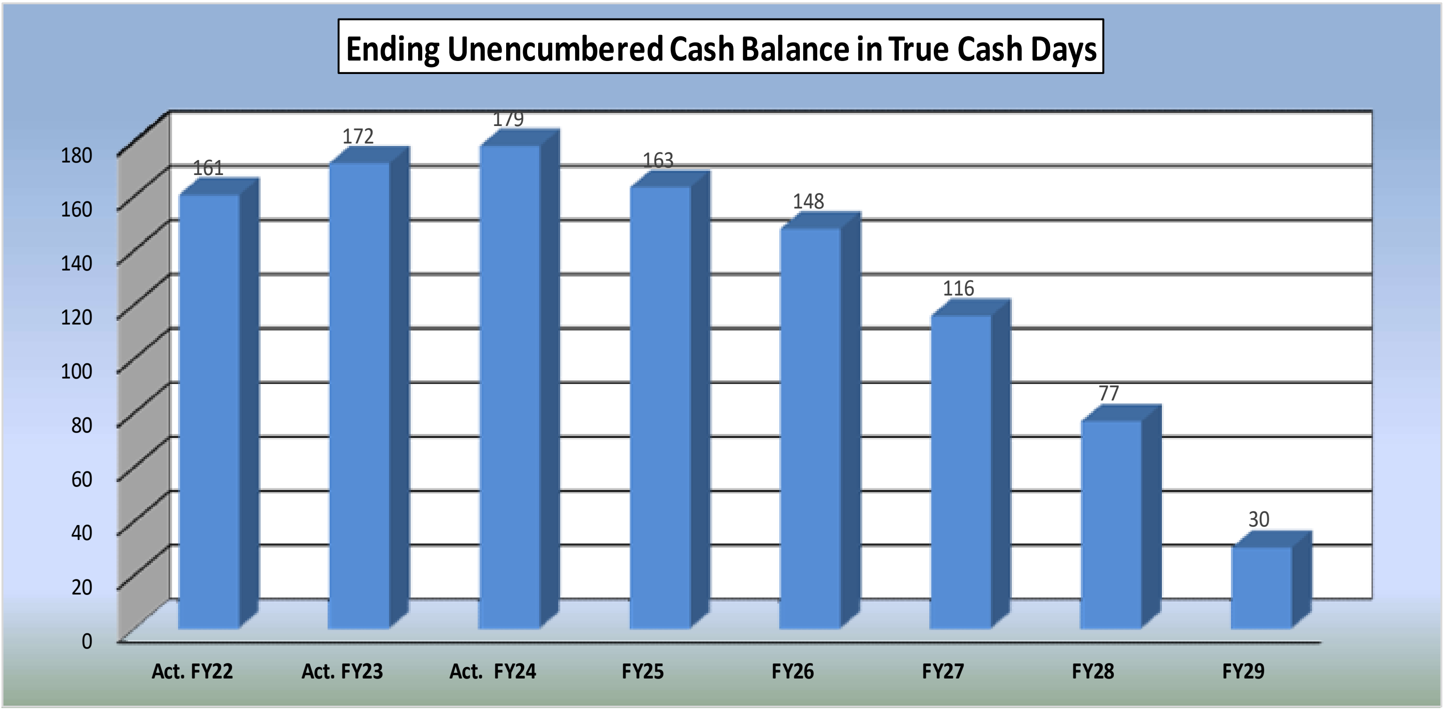
Ending Unencumbered Cash Balance "The Bottom-line" – Line #15.010
This amount must not go below $0 or the district General Fund will violate all Ohio Budgetary Laws. Any multi-year contract which is knowingly signed which results in a negative unencumbered cash balance is a violation of 5705.412, ORC punishable by personal liability of $10,000. It is recommended by the GFOA and other authoritative sources that a district maintains a minimum of thirty (30) day cash balance.

	FY25	FY26	FY27	FY28	FY29
Ending Unreserved Cash Balance Line #15.01	$25,726,856	$23,790,894	$24,128,975	$27,176,465	$28,444,829

Operating Expenditures Actual FY22 through FY24 and Estimated FY25-FY29
As the graph on the following page indicates, we have diligently contained costs due to lower and flat state revenues. We control our expenses while balancing students' academic needs to enable them to excel and perform well on state performance standards.



True Cash Days Ending Balance
Another way to look at ending cash is to state it in 'True Cash Days". In other words, how many days could the district operate at year-end if no additional revenues were received? This is the Current Years Ending Cash Balance divided by (Current Years Expenditures/365 days) = the number of days the district could operate without additional resources or a severe resource interruption. The government finance officers association recommends that no less than two (2) months or 60 days of cash is on hand at year-end but could be more depending on each district's complexity and risk factors for revenue collection. This is calculated, including transfers, as this is a predictable funding source for other funds such as capital, athletics, and severance reserves. The district adopted a cash balance policy requiring a minimum of 90 days of true days cash in order to maintain financial stability.



CONCLUSION

Brecksville-Broadview Heights City School District receives 17.5% of it's funding for the district from state dollars which is very beneficial to the overall operations for the education of our students.

District administrations appreciates the supportive Brecksville-Broadview Heights community and are actively planning for the future needs of our students while keeping an eye on the financial stability of the district. The administration is mindful that there are many risks and uncertainties that will need to be considered in future planning.

As you read through the notes and review the forecast, remember that the forecast is based on the information that is known at the time that it is prepared.